

Daily Need to Know

Thursday, 17 September 2026 · Pre-market brief

Coverage window, capture method and edition notes are at the back, in section 16.

1 Market snapshot — the close, and where it is trading now

ASSET	LAST	CHANGE	NOTE
US CASH EQUITIES — SETTLED 16:00 ET WED 16 SEP (04:00 GMT+8), 2H 10M OLD			
S&P 500	7,551.81	-33.92 -0.45%	Range 7,507.77-7,626.79 . Opened at 7,601 and was up 0.3% at 2pm ET ; the whole decline came after the Fed. Closed 44pts off the low, at just 13.6% of Hedgeye's 7521-7747 band.
Nasdaq Composite	25,978.42	-3.15 -0.01%	Flat to four decimal places, and up 0.7% going into 2pm . Semis paid for the whole index. 20.7% of band.
Dow Jones Industrial	51,461.90	-631.21 -1.21%	The day's real number . 987-point range. Price-weighted, so a 3%+ fall in Goldman — its highest-priced member — plus Chevron on crude did the damage.
Russell 2000	2,858.81	-11.47 -0.40%	Three-month low. Sits 0.41% above Hedgeye's 2847 floor on a Bearish TREND band — 11.8% of band, the weakest of the four.
Philadelphia SOX	11,246.10	+70.55 +0.63%	The one green index. Intel's memory talks (\$9) lifted the whole complex. Still 23.3% below its 52-week high of 14,655.
US INDEX FUTURES — LIVE 06:10:52 GMT+8, BUT GLOBEX REOPENED AT 18:00 ET; ONLY 10 MINUTES OF TRADE			
E-mini S&P (ES, Dec)	7,623.25	+0.25 +0.00%	427 contracts . Basis to cash +71.44 (+0.95%), normal Dec carry — which confirms the cash settle is a settle. The change figure is noise, not a signal.
E-mini Nasdaq (NQ)	29,278.00	+21.25 +0.07%	251 contracts. A 20.5-point range. Nothing has been decided here.
E-mini Dow (YM)	51,904	-11 -0.02%	36 contracts . Basis +442 (+0.86%). Do not read this row as a direction.
E-mini Russell (RTY)	2,883.0	+0.50 +0.02%	86 contracts. Basis +24.19 (+0.85%). Basis consistent across all four contracts — a clean settle check.
US TREASURY YIELDS — LIVE 06:10:52 GMT+8; OFFICIAL TREASURY PAR CLOSE IN BRACKETS			
2-year	4.736%	+6.5 bp	A 52-week high — 0.8bp off the 4.744% peak, from a 4.60% low. [Treasury par 4.74]. Sits 86bp above the new fed funds midpoint: the market is priced for more.
10-year	5.020%	+1.4 bp	Back through 5%. 52-week high 5.041% printed Monday — the highest since 2007 . [par 5.01]. 78.1% of Hedgeye's 4.77-5.09 band.
30-year	5.361%	-0.8 bp	The only duration that fell. [par 5.35]. 30s10s +34.1bp . Long end is not leading this — the front end is.
5-year	4.877%	+4.0 bp	[par 4.86 — a 1.7bp gap, reconciled in \$18]. 5s2s only +14.1bp : the belly is pinned.
13-week bill	4.074%	+1.1 bp	At its own 52-week high. 10s3m +94.6bp — the curve is positively sloped and steepening from the front.
ENERGY — LIVE 06:10:52 GMT+8; WEDNESDAY SETTLEMENT IN BRACKETS, CONFIRMED BY TWO SOURCES			
WTI crude (CL, front)	\$101.87	-0.55% vs settle	[settled \$102.43, -3.21%]. Broke on the US saying the Saudi pipeline restarts "within days". Still 57.7% of an unusually wide 91.53-109.45 band.
Brent crude (front)	\$105.31	-0.49% vs settle	[settled \$105.83, -2.69%]. Touched nearly \$110 earlier in the week. Three lots traded overnight — treat the live print as indicative.
Natural gas (NG, front)	\$2.892	+0.03%	68.6% of a 2.70-2.98 band. Imported natural gas prices are +102.6% year-on-year (BLS) — the quiet engine under the import-price print.
RBOB gasoline	\$3.2357	+0.08%	One lot. Pump prices tell it better: regular \$4.37 vs \$3.19 a year ago; diesel a record ~\$6.31 , up \$2.55 y/y (EIA/AAA).
METALS — SPOT LIVE 06:10:52 GMT+8. WEDNESDAY FUTURES SETTLED BEFORE THE 2PM DECISION, THEN REVERSED			
Gold (spot)	\$4,260.96	-2.0% vs settle	The reversal of the day . Dec futures settled +1.26% at \$4,387.50 pre-decision; futures now \$4,300. Spot closed ~\$4,268. Spot sits at just 9.4% of a Bullish 4241-4453 band — 0.47% above the floor.

ASSET	LAST	CHANGE	NOTE
Silver (spot)	\$62.95	−2.3% vs settle	Settled +1.66% at \$64.92 , also pre-decision. Same whipsaw, larger. 39.1% of a <i>Bearish</i> 61–66 band.
Copper (spot)	\$6.3298	+1.02% (futures)	Copper went the other way — up while gold and silver fell 2%. It is a physical-shortage trade, not a rates trade: H1 2026 mine output fell 1.1% (ICSG). 26.5% of band.
FX, VOLATILITY AND CRYPTO — LIVE 06:10:52 GMT+8			
Dollar index (DXY)	100.34	+0.73%	Above the band. Hedgeye's ceiling is 99.94 on a <i>neutral</i> TREND — DXY is 135% of band , 0.40% through the top. Biggest one-day gain since mid-June; highest since 31 July. [close 100.28 per Investrade — see §18].
USD/JPY	156.27	−0.02%	A 10-basis-point range on a fresh bar — no information. The BoJ decides today , and all 52 economists Bloomberg surveyed expect a hike. This is the day's biggest asymmetry.
USD/KRW	1,376.58	+1.14%	Closed on its high from a 1,361.09 open. Won at the weak end; Korea imports its dollar funding and its helium. Bar spans the Asian session, not the last hour.
VIX	17.72	+3.08%	Range 16.40–18.94 . Closed above Hedgeye's 16.55 TREND level at 72.8% of band. McCullough: implied vol vs 30-day realised has surged to 84% ; above ~19 is the regime change.
Bitcoin	\$75,713	+0.11%	Low of \$75,026 overnight; \$74,913 shakeout intraday. 40.0% below its 52-week high — yet still ~3.5% above a 200-day EMA near \$73,082. Own catalyst: the CLARITY Act died 49–50 in the Senate.

Colour key: *green = higher, red = lower, amber = flat or statistically indistinguishable from flat*. For yields, red marks a rising yield. Reconciliation: all four cash index closes and point changes match the Associated Press wire exactly; VIX matches to one tick; WTI and Brent settles are confirmed twice. Futures rows carry ten minutes of trade and their change columns are deliberately amber. Spot metals and FX majors sit on bars roughly 70 minutes old, so their own daily-change fields are noise — the moves quoted above are measured against Wednesday's settlement instead. Divergences and single-sourced rows are resolved in §18.

TL;DR The Federal Reserve raised rates. A 25bp hike to **3.75–4.00%**, unanimous 12–0, the first increase since 2023 and the first decision of Chair Kevin Warsh's tenure. It was **93% priced**, so the hike was not the shock — the press conference was. Every index was *higher* at 2pm ET and rolled over while Warsh spoke. What broke was not the market but a slice of it: **banks had their worst day since February**, Goldman, Wells Fargo, Bank of America and Citigroup all off more than 3%, and the Dow shed 631 points while the Nasdaq finished dead flat because Intel's memory talks bid the semis. **60.8% of all US issues fell**. The 2-year closed at a **52-week high**, 86bp above the new funds midpoint, and the market now puts **~51%** on another hike in October. Gold and silver settled *up* before 2pm and were 2% lower within hours. And the three assets Hedgeye has been short for months — long bonds, credit, utilities — all closed within half a percent of 52-week lows. **The thesis is no longer a forecast; it is the tape.**

2 The big picture — what it means

1. The hike was priced; the conviction behind it was not. CME FedWatch had a 25bp move at **92.5–93%** into the meeting, and 29 of 32 former Fed officials surveyed by Hilsenrath said hike. Deutsche Bank called a hold the biggest dovish surprise since 1994. So the decision itself was a formality. What moved markets was the language: the statement added "*Today's policy action will support a timelier return to the Committee's 2 percent goal. The Committee will deliver price stability*" and **dropped** July's mitigating clause about supply shocks including energy. Removing an excuse is a policy signal. The dot plot then put a median of **one more hike in 2026**, and PCE not back at 2.0% until **2029** — a year later than June's forecast.

2. This was a rotation, not a de-rating. The Dow fell 1.21% and the Nasdaq fell 0.01%. That 120-basis-point spread on a single session is the entire story, and it resolves into two facts: banks had their worst day since February on fear of *more* hikes — Goldman, Wells Fargo, Bank of America and Citigroup each off more than 3%, KBE −2.6% — while Intel rose 4% on a Reuters report that **SK Hynix is in talks to make memory chips on US soil for the first time**. One index is 30 price-weighted industrials with a large financial and energy weight. The other is a semiconductor complex that got a supply-chain headline. Both were true on the same afternoon.

3. Breadth was far worse than the index prints admit. **60.8%** of all US issues declined against 36.3% advancing (TheStreet). Equal-weight S&P (RSP) fell **0.79%** against the cap-weighted 0.45%, and the NYSE Composite fell **0.81%**. The flat Nasdaq is an artefact of concentration, not evidence of calm. On a day when two-thirds of stocks fell, a headline index printing −0.01% is the most misleading number on the page.

4. The front end says the market does not believe one hike is the end. The 2-year closed at **4.736%**, a 52-week high, having traded as low as 4.60% before the decision — an 11bp round trip in an afternoon. It now sits **86 basis points above** the new funds midpoint of 3.875%. A 2-year that far above the policy rate is not a curve; it is a forecast. FedWatch duly moved to **~51%** for another 25bp on 28 October. Against that, 10s2s is only **+28.4bp** and 5s2s **+14.1bp**: the market is pricing more tightening *and* compressing the reward for taking duration to get it.

5. Wednesday's data made the hike inevitable five and a half hours before it happened. August retail sales came in **+1.2% against +0.8% consensus**, the largest monthly gain since March, off an upwardly revised −0.5%. Import

prices ran **+0.7% against +0.3%**, and **+7.0% year-on-year** — the hottest since August 2022. Demand is not rolling over and the imported-goods channel is inflating. The single clear miss was housing, and it was the tell rather than the footnote: **NAHB at 32 against 34 expected, down from 35**, with 38% of builders cutting prices. Then Lennar missed after the close. The rate shock is already landing, and it is landing on housing first.

6. Precious metals were the cleanest expression of the repricing, and the settlement times hide it. Gold futures **settled up 1.26% at \$4,387.50** and silver **up 1.66% at \$64.92** — both struck minutes before 2pm ET. By the time the electronic session reopened, gold was \$4,300 and silver \$63.44, roughly 2% lower. Bloomberg: bullion "*slumped as much as 1.3% after Fed Chair Kevin Warsh used his post-decision briefing to reaffirm the threat posed by inflation.*" A credible inflation-fighter raises real yields, and a non-yielding asset pays for it. Copper rose 1% through the same hours because copper is short physical metal, not long duration.

7. The uncomfortable part: the Fed is tightening into an economy that has probably already turned. The data driving the hike — Q3 retail sales, resilient capital spending, a **\$9 trillion** rise in household net worth in Q2 — is backward-looking. Warsh conceded he was "*hard-pressed*" to say rates had been restrictive going into the meeting, which is an argument for more. But NAHB is at its joint-lowest since 2022, Lennar's earnings more than halved year-on-year, and J.B. Hunt fell **12%** on an earnings warning driven by record diesel. Hedgeye's framing is the sharpest available: inflation accelerates into Q4, then *halves* by mid-2027, leaving the Fed tight into a slowdown. If that is right, the 2-year at a 52-week high is not the start of a trend but the top of one — and nobody gets to know which for several months.

3 Rates, currencies & commodities

- **Duration is in a bear market and the ETFs prove it.** TLT closed **0.52%** off its 52-week low, HYG **0.08%** off (it touched the low intraday, exactly 78.36), LQD **0.38%** off, XLU **0.41%** off having also traded its 52-week low at 41.15. Four separate bond-sensitive assets within half a percent of one-year lows on the same day is not four stories.
- **The long end refused to confirm.** The 30-year *fell* 0.8bp while the 2-year rose 6.5bp. That is a bear-flattener from the front, the signature of a policy repricing rather than a term-premium or fiscal event — and it sits awkwardly with the "nobody wants Treasuries" thesis.
- **Warsh's own account of high yields is contestable and worth noting.** He named three causes: economic strength, competition for capital from the AI capital-expenditure surge, and geopolitics — explicitly *not* fiscal supply. Wells Fargo's Paul Christopher points to the 9 September 10-year auction's bid-to-cover of **2.71, the strongest since 2019**, and to parallel yield surges in German, French and Italian bonds. Bond volatility agrees with the calm reading: **MOVE fell 3.6% to 80.73** on the day of a surprise-adjacent hike.
- **The dollar broke out, and it broke out of a band Hedgeye rates only neutral.** DXY +0.73% to **100.34**, through a 99.94 ceiling, the biggest one-day gain since mid-June. Note the level though: 100 is not a strong dollar in absolute terms. This is rate-of-change off a weak base as the Fed turns hawkish while its peers lag — which is precisely why today's Bank of Japan decision matters more than usual.
- **Crude's fall was a supply-relief headline, not a demand signal.** WTI settled **-3.21% at \$102.43** after US Energy Secretary Chris Wright said the damaged Saudi East-West pipeline "should resume operations within days". **That timeline is disputed:** Associated Press reporting, sourced to Saudi officials, puts repairs including a major pumping station at **three to five weeks**. Days versus weeks, both on the record within 48 hours, is itself the tradable fact. Aramco is meanwhile offering Arab Light, Medium and Heavy off Sohar, Oman — outside Hormuz — by ship-to-ship transfer.
- **The EIA print was a draw that read as a build.** Crude -640k barrels against -1.4mn expected, but **gasoline +794k** and **distillate +1.6mn** were both builds where draws or flat were expected. Distillate stocks remain **13% below** the five-year average and the SPR is down to **285mn** barrels from above 400mn a year ago. Note the API had previewed a 7.1mn-barrel build that the EIA did not confirm — the source of contradictory morning headlines.
- **Copper's divergence has a number behind it.** LME three-month copper hit an all-time record **\$14,858.50 a tonne on 10 September**, up roughly 19% year-to-date. Global mine production *fell* 1.1% in H1 2026 on grade decline in Chile and Peru. When the marginal buyer is a physical shortage, a 25bp hike is not the relevant variable.

4 Hedgeye — regime, risk ranges & the Quad path

Read this section with one fact in front of you: every Hedgeye level and position below was published BEFORE the Fed decision. The Early Look went out at 07:33 ET (19:33 GMT+8) and The Macro Show at 10:13 ET (22:13 GMT+8) on Wednesday. The FOMC statement landed at 14:00 ET, four to six and a half hours later. The bands were therefore set without knowledge of the hike, and Thursday's Early Look — due around 19:30 GMT+8 tonight — supersedes all of it. That said, the positioning was pointed squarely at this outcome, and the tape paid it.

MACRO DASHBOARD	READING
Core position	Short bonds , and short bond proxies including utilities. McCullough: the inflation model continues to show inflation accelerating, and the strategy is to short bonds <i>on bounces</i> .
Inflation NowCast	Quarterly NowCast could move back toward ~3.67% . Upside CPI surprises expected through Q4 ; then a sharp fall, potentially halved by mid-2027 .
The signal to watch	Whether yields begin making lower highs . Until then, no reason to change positioning. It has not arrived — the 2-year made a 52-week <i>high</i> hours later.
Volatility regime	VIX closed above the 16.55 TREND level; Bullish TREND but not yet the "Chop" regime. Above ~19 is the real shift. Implied vs 30-day realised at 84% .
Quad path	No explicit Quad path notation was seen in any publication read this morning. The 11 September Macro Week Summary Notes lists a "U.S. Monthly Quad Forecast" section but the

MACRO DASHBOARD	READING			
	content sits behind a separate dashboard link that was not reachable. The Early Look's reference to "#Quad4" is a joke chapter title, not a path assertion. Absence of a printed path is not evidence the path is unchanged — nothing is asserted here.			
Country book	Long Colombia, Brazil, Spain . Short Qatar, India, Australia, Switzerland . Qatar the longest-standing short, ~16% down from setup. Brazil recently re-added long. Spain (EWP) vs Switzerland (EWL) as a paired trade.			
Live position changes	ETF Pro, 10:37 ET: ADD long Energy (XLE) and Ethereum (ETHA); REMOVE long Canadian dollar (FXC) on a broken TREND. Russell 2000 short trimmed by ~25bp — a trim, not a reversal. Signal Strength Stocks: 42 names, adding FSLY, PM, DDOG, MDB, PANW, VLTO; removing COIN, AR, CRCL, KMX, RRC.			
<i>Inconvenient note on the XLE add: it was published at 10:37 ET on the rationale that price sat near the low end of the range. XLE then closed -2.88%, the worst of the eleven sectors, as the Saudi pipeline restart headline hit crude. Day one went against it.</i>				
INSTRUMENT	LIVE	RISK RANGE	TREND	WHERE IT STANDS
US Dollar Index	100.34	98.80–99.94	neutral	THROUGH THE CEILING — 135% of band, +0.40% above the top. The most significant breach on the board, and on a merely neutral TREND.
10Y UST yield	5.020%	4.77–5.09	bullish	78.1% of band; 1.38% below the ceiling. Bullish TREND on a yield means bearish bonds.
VIX	17.72	14.89–18.78	bullish	72.8% of band, +19.0% off the floor. The ceiling was raised to 18.78 <i>intraday</i> on Wednesday from a 16.55 TREND reference — a band widening, sourced directly to The Macro Show.
Nat Gas (continuous)	\$2.892	2.70–2.98	neutral	68.6% of band. Quietly the second-highest position on the board.
WTIC (continuous)	\$101.87	91.53–109.45	bullish	57.7% . An \$17.92 band — 19.6% of spot — is the market telling you the Saudi repair timeline is unknowable.
LQD	104.45	103.5–105.4	bearish	50.0% of band, dead centre. But 0.38% off a 52-week low.
XLV (Health Care)	167.77	162–174	bullish	48.1% . One of only three sectors to close green, and it barely did.
Silver (spot)	\$62.95	61–66	bearish	39.1% . Bearish TREND, and it just gave back a 1.66% settle gain.
HYG (High Yield)	78.42	78.15–78.95	bearish	33.7% , and 0.35% off the floor. An 0.80-point band — 1.0% wide. Credit has almost no room before it breaks the range.
Copper (spot)	\$6.3298	6.20–6.69	neutral	26.5% . Sitting on its TREND line and attempting to recover it; the stated plan is to follow the next signal, not anticipate it.
Nasdaq Composite	25,978	25813–26611	neutral	20.7% , +0.64% off the floor. A flat day left it in the bottom quarter of its band.
S&P 500	7,551.81	7521–7747	bullish	13.6% , just +0.41% above the floor. Bullish TREND, bottom of range — the setup Hedgeye would normally buy, into a Fed that just hiked.
Russell 2000	2,858.81	2847–2947	bearish	11.8% , +0.41% off the floor. Bearish TREND <i>and</i> bottom of band — the weakest combination on the board.
Gold (spot)	\$4,260.96	4241–4453	bullish	9.4% — the lowest band position here, 0.47% above the floor. Gold only just returned to Bullish TREND; the position stays at minimum size until it reclaims 4,361 .
2Y UST yield	4.736%	— / 4.75 top	—	The Macro Show cited 4.75% as the top end. It closed 1.4bp below that ceiling at a 52-week high. No floor was published, so no band percentage is computed.

*Bands are the 16 September Early Look set, measured on the series Hedgeye names: spot for gold, silver and copper (TVC:GOLD, TVC:SILVER, OANDA:XCUUSD), continuous contract for crude and natural gas (NYMEX:CL1!, NYMEX:NG1!). IGV (100-109, bullish) and OIH (401-437, bullish) were published but not captured this morning, so no position is shown for either. **Band movement versus the previous session is UNKNOWN, not unchanged**: the Early Look category page does not paginate — pages 2 and 3 both return the 16 September note — and no other route to the 15 September levels was found. The one documented band move is the VIX ceiling, raised intraday to 18.78.*

What Keith actually said. Direct quotes from the Early Look, "Signals: How To Not Die In Markets", published 07:33 ET / 19:33 GMT+8, 16 September:

- "Don't bag hold TLT or 40% of your Retirement Account in Bonds that look like it." — Keith McCullough. TLT closed 0.52% off a 52-week low that afternoon.

- "Is the US Stock Market already crashing? No. Parts of it are." He names two: "Major Market Drawdown = US Treasuries" and "Factor Exposures in the US Stock Market."
- On the retail-owned factor: the "High Retail Investor Sentiment" basket fell another **2.0%** and has gone from **+23% to -3%** year-to-date, a 26-point reversal since its **28 May** peak. "Did you know 3x Semis Bull (SOXL) was down -17% on Monday on over 101 MILLION shares?"
- On Meta, from The Macro Show: "we like Meta." META closed +0.46%.

The Macro Show material is presented as attributed summary rather than quotation because Hedgeye's own notes carry the disclosure "SUMMARY HAS BEEN ENHANCED BY AI AND MAY CONTAIN ERRORS". On that basis: Tesla was called Bearish TRADE and TREND and Nvidia close to turning Bearish TREND, the two riskiest mega-caps on signal; Amazon has gone Bullish to Neutral to Bearish TREND and Google has failed its trend signal; Microsoft was the preferred name to buy on the dip. Timestamps converted at GMT+8 = ET + 12h (US daylight time).

5 Mag7 scoreboard

NAME	LAST	DAY	CAP	READ
Nvidia (NVDA)	213.90	+0.82%	\$5.155T	Largest company on the board. Hedgeye flags it as close to turning Bearish TREND — one of the two riskiest mega-caps on signal. 9.6% below its 52-week high.
Apple (AAPL)	332.41	+0.32%	\$4.851T	Quietly green, 3.5% below its 52-week high. The least eventful large-cap on the page, which on this day counts for something.
Alphabet (GOOGL)	342.87	-0.61%	\$4.174T	Has failed its trend signal per Hedgeye. 16.1% below its 52-week high of 408.61 — the largest drawdown among the seven.
Microsoft (MSFT)	490.30	-1.37%	\$3.641T	Worst of the seven, and the mechanism is rates, not news: long-duration cash flows de-rating as the 2-year hits a 52-week high. Hedgeye's preferred name to buy on the dip .
Amazon (AMZN)	245.96	-0.99%	\$2.653T	Has walked Bullish to Neutral to Bearish TREND and is called a major contributor to Consumer Discretionary weakness. XLY -0.63%.
Meta (META)	673.31	+0.46%	\$1.715T	The one mega-cap Hedgeye is explicitly long and explicitly likes. Still 14.9% below a 790.80 high.
Tesla (TSLA)	358.08	+0.42%	\$1.414T	Green on the day but Bearish TRADE and TREND on signal — the widest gap between price action and signal on the board. 28.2% below its 52-week high, by far the deepest drawdown of the seven.
Broadcom (AVGO)	339.51	+0.07%	\$1.621T	Effectively flat despite SOX +0.63% — it did not join the Intel-led move. 31.4% below its 52-week high of 495.

Capitalisations are TradingView's market_cap_basic captured at 06:10:52 GMT+8 and reflect the Wednesday settle. The eight names above sum to roughly **\$25.2 trillion**; six of the eight sit more than 9% below their 52-week highs, and the two with the deepest drawdowns — Tesla and Broadcom — both closed green. After-hours moves were trivial: the largest was Nvidia at +0.34%.

6 Positioning & options

- **The market went into the Fed already hedged, which is why it did not break further.** Aggressive SPY put buying pushed short-dated calendar volatility **from 12 to 20**, and implied volatility against 30-day realised surged to **84%** (Hedgeye, The Macro Show). Paying 84% over realised is a crowded hedge. McCullough's read: equities could *squeeze higher* if volatility does not keep breaking out — and his explicit call was "wait and watch", not a directional bet.
- **The retail factor has been unwinding for sixteen weeks and it is the largest positioning fact in the market.** The High Retail Investor Sentiment basket has gone **+23% to -3% year-to-date** — a 26-point reversal since the **28 May** peak — and fell another 2.0% on Tuesday. Levered vehicles are far worse: **SOXL fell 17% on Monday alone on more than 101 million shares**. That is forced, not chosen, selling.
- **Today is quadruple witching.** The third Friday of September 2026 is **Friday 18 September**: stock-index futures, index options, single-stock options and single-stock futures all expire. The **S&P quarterly rebalance** trades at Friday's close, effective before Monday's open — adding Bloom Energy, Illumina and Everpure; deleting Molson Coors, The Trade Desk and Builders FirstSource. Expiry plus rebalance plus a fresh hike is a genuinely poor combination for reading price signals over the next 48 hours.
- **Bond volatility went the wrong way for the panic narrative.** MOVE fell **3.6% to 80.73**, well off its 115.02 52-week high. Rates repriced hard without a volatility event — consistent with a market that had already positioned for the hike.
- **The VIX regime threshold is explicit and we are below it.** Above roughly **19** marks the transition to a higher-volatility regime; VIX printed a **18.94** intraday high and closed 17.72. It got within six hundredths of a point of the line and backed off.
- **A heavy coupon package lands into this.** Treasury auctions 2-year (22 Sep), 5-year and 2-year FRN (23 Sep) and 7-year (24 Sep), with sizes announced today. A full 2s/5s/7s slate the week after a surprise-adjacent hike, with the 2-year at a 52-week high, is a real risk event rather than a calendar entry.
- **Hedgeye trimmed rather than added.** The Russell 2000 short was **reduced by ~25 basis points** into a three-month low — taking something off a winner, not covering. Worth distinguishing: this is not a change of view.

7 Sector rotation — leaders & laggards

ETF	SECTOR	CLOSE	DAY	NOTE
XLK	Technology	183.93	+0.10%	Best of eleven, and it managed one basis point of gain per ten. Semis carried it.
XLV	Health Care	167.77	+0.07%	Bullish TREND at 48.1% of its 162-174 band. Defensive without being a bond proxy.
XLU	Utilities	41.32	0.00%	Exactly unchanged — after trading its 52-week low of 41.15 intraday. A flat close hiding a one-year low. Hedgeye is short it as a bond proxy.
XLI	Industrials	168.71	-0.08%	Held up far better than J.B. Hunt's 12% collapse would suggest. 10.4% below its 52-week high.
XLP	Cons. Staples	83.33	-0.48%	Defensives did not defend. On a day the Dow fell 631 points, staples fell with it.
XLRE	Real Estate	42.81	-0.60%	The purest rate-sensitive sector, and the NAHB miss plus Lennar's shortfall frame it. 7.8% off its high.
XLY	Cons. Discretionary	110.18	-0.63%	Fell despite retail sales beating by 40bp — because the beat bought a rate hike. 11.9% below its high.
XLB	Materials	50.36	-0.73%	Down despite record copper. The dollar breakout outweighed the metal.
XLC	Comm. Services	113.00	-0.90%	Alphabet and Netflix both lower; Netflix is 38.8% below its 52-week high.
XLF	Financials	55.93	-1.62%	Worst day since February. Goldman, Wells Fargo, Bank of America, Citigroup all -3%+; JPMorgan -1.5%; KBE -2.6%.
XLE	Energy	64.03	-2.88%	Worst sector. Diamondback -8%, APA -5.2%. Crude's supply-relief break did this in one afternoon — and Hedgeye added it long that morning.

- **Leaders:** Technology, Health Care and Utilities — and the three of them mustered **+0.17% combined**. On a day when nothing rose meaningfully, "leadership" means the absence of damage.
- **Laggards:** Energy and Financials, -4.50% between them. Two sectors did roughly two-thirds of the index damage, and they are the two with the heaviest Dow representation by price.
- **The rotation, precisely:** out of rate-sensitive credit-levered financials and out of a crude spike that just deflated; into semiconductors on a single company-specific supply headline. Nothing about this pattern is a growth call or a defensive call. It is two idiosyncratic shocks landing on the same afternoon as a policy shock, and the sector table reads as the sum rather than as a theme. Equal-weight S&P fell **0.79%** against cap-weighted 0.45% — the honest measure of the day.

8 Forward — futures & the week ahead

The overnight tape barely exists. Globex reopened at 18:00 ET and this brief was captured at 18:10 ET, so ES has traded **427 contracts**, NQ 251, RTY 86 and YM **36**. All four sit within 0.07% of their settles in ranges of three to twenty points. That is not a market forming a view; it is a market that has not opened yet. The genuinely live instruments — FX majors, spot metals and crypto — are also only 70 minutes into fresh daily bars, which is why this brief measures their moves against Wednesday's settlement rather than quoting their own change fields. **Crypto is the only row in the document with a meaningful continuous session behind it**, and Bitcoin is up 0.11% on a \$75,026-\$76,482 overnight range. The first real information today will be the Bank of Japan, not the US tape.

DAY (GMT+8)	KEY EVENTS
Thu 17 Sep today	BoJ meeting day 1 (no statement). 19:00 Bank of England — Bank Rate 3.75%, market-implied hold; the July vote was 6-3 with three for a hike. 20:30 US jobless claims (cons. 207k, prior 206k); US housing starts (cons. 1.320mn, prior 1.239mn) and building permits (cons. 1.400mn, prior 1.433mn); Philadelphia Fed Sep (cons. 31.3 vs prior 47.4 — a very large expected deceleration). 22:00 pending home sales (cons. +2.0%, prior -2.3%). 23:00 Lennar earnings call . 10-year TIPS reopening, \$19bn. Fed blackout ends. Hedgeye geopolitics event 22:00.
Fri 18 Sep	BoJ decision , ~11:00-12:00, with Ueda press conference 14:30 . Consensus is a 25bp hike to 1.25% — all 52 economists in Bloomberg's survey, 66 of 68 in Reuters'. Would be the highest Japanese policy rate since 1995 . Quadruple witching — index futures, index options, single-stock options and single-stock futures all expire. S&P quarterly rebalance trades at the close. 21:15 US industrial production, Aug (no published consensus found). 21:30 Fed Vice Chair for Supervision Bowman on stress testing, London — the first Fed voice after the hike.
Mon 21 Sep	09:15 PBoC loan prime rate — 1Y 3.00%, 5Y 3.50% currently; date inferred from the "20th, postponed for holidays" rule and not confirmed from a PBoC source . S&P rebalance effective before the open. 13- and 26-week bill auctions.
Tue 22 Sep	20:30 Philadelphia Fed non-manufacturing; 22:00 Richmond Fed manufacturing. 2-year note auction (size set today). Xi-Trump White House state visit expected 24 Sep — positioning starts here. SpaceX Starship Flight 14 targeted 20:15 GMT+8.

DAY (GMT+8)	KEY EVENTS
Wed 23 Sep	21:45 S&P Global US flash PMIs , September — manufacturing, services, composite. No consensus confirmed. 22:30 EIA petroleum status. 5-year note and 2-year FRN auctions. Jabil earnings before the open (unconfirmed).
Thu 24 Sep	09:30 Australia August labour force (the ABS has moved to a later slot — not the old third Thursday). 20:30 US jobless claims; 22:00 new home sales, Aug; 22:30 EIA natural gas storage. 7-year note auction. Costco earnings after the close (company-confirmed, cons. \$6.69); Accenture after the close (unconfirmed).
Fri 25 Sep	20:30 US advance durable goods, Aug; 22:00 University of Michigan sentiment, September final. No consensus confirmed for either.
Beyond	Next FOMC 27-28 October — decision 02:00 GMT+8 Thursday 29 October, currently ~51% priced for another 25bp. December meeting 8-9. September minutes ~7 October. US appropriations lapse 30 September — shutdown risk from 1 October; the Senate passed a CR 90-6 on 8 August funding to 11 December, but House passage could not be confirmed. PCE and the Q2 GDP third estimate both land 30 September. Micron reports 30 September; Nike 1 October. California's SB 1047 must be signed or vetoed by 30 September . The Busan tariff truce expires 10 November ; midterms 3 November .

Times converted at GMT+8 = ET + 12h (US daylight time) and verified against the New York Fed's September 2026 economic indicator calendar, the Federal Reserve Board calendar; Census, the Bank of England's own 2026 MPC schedule, the Bank of Japan's published meeting dates and Treasury's upcoming-auctions data. Note that one widely syndicated preview printed Thursday's US releases at 07:30 and 09:00 — those are Central times; the ET times above are from the releasing agencies. Consensus figures are Investing.com where shown; where none is shown, none was published or none could be confirmed, and none has been estimated.

9 Corporate news

- **Intel +4.03% to \$101.05 — the single stock that changed the shape of the index day.** A Reuters exclusive reported Intel is in talks with **SK Hynix** to manufacture memory chips on US soil for the first time, potentially including **high-bandwidth memory**. Two structures are under discussion: SK Hynix leasing part of Intel's long-delayed Ohio complex, or a joint venture with Intel plus major cloud companies wanting to lock in memory supply. **The caveats matter as much as the headline:** SK Hynix said it is "reviewing various measures" but that "no matters have been determined"; one source called the talks exploratory; and Reuters flags likely **opposition from Seoul**, which treats HBM and DRAM as sensitive technologies. SK Hynix rose 3%; Micron closed roughly flat at -0.11%.
- **Lennar missed after the close, and badly.** Fiscal Q3 net earnings **\$284mn / \$1.19 a share**, against **\$591mn / \$2.29** a year earlier. Adjusted \$294mn / **\$1.23** versus \$516mn / \$2.00, against consensus around **\$1.30**. "Lennar Other" swung to an **\$84mn operating loss** from a \$62mn profit. Earnings more than halved year-on-year. The call is at 23:00 GMT+8 today. Read alongside NAHB at 32 and it is the same sentence twice: housing is where the rate shock has already arrived.
- **J.B. Hunt fell about 12% — the day's biggest large-cap loser, and the most under-reported.** It warned of an earnings decline and flagged rising operating costs. Old Dominion fell 4.34% in sympathy. The mechanism is **record diesel at ~\$6.31 a gallon, up \$2.55 year-on-year**. Freight is where the energy spike becomes an earnings problem, and the Dow Transports were trading within 1% of their 200-day average — a first break below since October 2025.
- **Banks had their worst day since February.** Goldman Sachs led the Dow lower; Goldman, Wells Fargo, Bank of America and Citigroup all fell more than 3%; JPMorgan -1.5%; the SPDR S&P Bank ETF **-2.6%**, its worst since 27 February. The fear is explicitly *more* hikes rather than this one. Separately **Huntington Bancshares** cut 2026 net interest income growth guidance to ~35% from 39-43% while raising expected buybacks to \$1.3-1.4bn — though whether that crossed before or after 16:00 ET could not be confirmed.
- **Energy was sold indiscriminately.** Diamondback **-8%**, APA -5.2%, Viper Energy lower — all on the Saudi restart headline rather than on anything company-specific. The XLE selling was broad, not selective.
- **The optical and photonics complex squeezed.** Coherent **+6%**, Lumentum **+6%**, with Credo and Semtech among the day's top gainers. Dell rose 2.45% on AI-server demand and reports it will join the S&P 100; Evercore ISI raised its target to \$650. Oracle rose 2.00% and Netflix fell 1.91%, but **no company-specific catalyst could be verified for either** — Oracle looks like post-earnings AI-capex rotation after its 10 September print, and Netflix had already fallen ~3% on Tuesday. Cisco's 2.12% fall and Applied Materials' 1.38% fall are likewise unexplained by any 16 September news; the honest reading for Cisco is long-duration megacap de-rating plus its Dow membership, and Applied Materials' divergence from the rest of semis is worth flagging as odd rather than explained.

10 Macro data

- **Retail sales, August: +1.2% actual vs +0.8% consensus, prior -0.5% (revised up).** The largest monthly gain since March; control group **+1.4%**; +6.0% year-on-year at \$773.9bn. Economists raised Q3 GDP estimates on it. This landed at 08:30 ET, five and a half hours before the decision, and it sealed the hike. LPL's Jeffrey Roach: "*we also expect the Fed will raise rates to address the inflationary pressures coming from the demand side.*"
- **Import prices, August: +0.7% vs +0.3% consensus, prior -0.3%.** Year-on-year **+7.0%**, the hottest since August 2022. Nonfuel import prices +0.8%; fuel imports **+26.8% y/y**; imported natural gas **+102.6% y/y**. Export prices +0.6% vs +0.5%. This is the inflation the Fed cannot argue is transitory supply noise — and the statement duly dropped the supply-shock clause.
- **NAHB housing market index, September: 32 actual vs 34 consensus, prior 35.** The one clear miss, and the joint-lowest since 2022. Current sales conditions -4 to 35; six-month expectations -6 to 37; buyer traffic flat at 23. **38% of**

builders are cutting prices, up from 35%, and **66% are using incentives**, up from 63%. Builders discounting into a hike is the leading edge of the transmission mechanism.

- **EIA petroleum, week to 11 September: crude –640k barrels vs –1.4mn expected.** A third consecutive draw, but smaller than forecast, to 423.4mn. Cushing –342k to 21.5mn. **Gasoline +794k** to 207.7mn and **distillate +1.6mn** to 107.9mn were both *builds* where draws or flat were expected — the bearish detail under a bullish headline. Refinery utilisation 96.8%, –1pt. The SPR fell 403k to **285mn**, against more than 400mn a year ago. Distillate stocks remain **13% below** the five-year average.
- **The pattern is an upside inflation surprise, not a growth miss.** Two of the three top-tier prints beat to the hot side and the third — the only miss — was the interest-rate-sensitive one. That combination is exactly what justifies a hike and exactly what makes it dangerous.
- **Not released, despite appearing on at least one preview:** August industrial production and capacity utilisation. The Federal Reserve's own G.17 calendar puts it on **18 September**. No figure is printed here. August housing starts and permits were also not a 16 September release — Census scheduled them for today.

11 Geopolitics

- **▼ The Saudi pipeline timeline is openly disputed, and oil traded the optimistic version.** Drones struck the East-West (Petroline) crude line from Abqaiq to Yanbu on the Red Sea, including a major pumping station. **US Energy Secretary Chris Wright said on 16 September it "should resume operations within days"** — and crude fell 3%. **Associated Press reporting sourced to Saudi officials puts repairs at three to five weeks**, with officials unable to say how much volume would pass during them. An average **2.6–4.0mn barrels a day** had been moving through the line against nameplate capacity of up to 7mn. Riyadh blames drones from Iranian-backed militias in Iraq; Baghdad says the attack originated in Maysan province; Riyadh reportedly declined to retaliate at the Iraqi prime minister's request.
- **▼ The US-Iran war is in its seventh month and the Hormuz picture is contested by design.** The IRGC claimed on 15 September that a supertanker struck two mines; **CENTCOM publicly called that "FALSE"**, said no ships have hit mines in the strait, described it as "yet another IRGC attempt to intimidate regional commercial shipping through disinformation", and attributed the damage to an Iranian drone striking an already-inoperable hull. Neither account should be taken as established. Al Jazeera's framing captures the asymmetry: Hormuz traffic has fallen while the US insists the waterway is "fully open". LNG is moving only via emergency ship-to-ship transfers costing over **\$1mn** and up to 35 hours each.
- **◆ Iran's foreign minister went to Beijing on 16 September** for talks with Wang Yi — his second trip since the war began, and eight days before Xi's expected **24 September White House state visit**. China buys roughly **80%** of Iran's oil exports. Beijing's line, via MFA spokesman Lin Jian, is that China-Iran cooperation "should not be disrupted or undermined". US Treasury Secretary Bessent has threatened an "economic D-Day" for buyers of Iranian crude. Two of the largest variables in global trade — the tariff truce expiring 10 November and the oil sanctions regime — converge on that one meeting.
- **◆ The US House passed a third Iran war powers resolution 220-204 on 16 September.** Seven Republicans crossed, including two in Iowa battleground seats. The prior two died in the Senate and would face a veto, so the legal effect is nil — the electoral signal, seven weeks before the midterms, is not. Democrats lead the generic ballot by roughly 4 to 7.6 points depending on the pollster.
- **▼ Yemen is the second chokepoint and it is deteriorating simultaneously.** Saudi Arabia says it intercepted a Houthi drone headed for Mecca; the Houthis call the accusation a "nauseating lie". Yemeni government forces report clashes near Bab al-Mandeb. Israel shelled three southern Lebanese towns despite the Hezbollah ceasefire.
- **◆ Fed independence is now an open confrontation rather than a subtext.** Warsh hiked while the administration was publicly calling for cuts — NEC Director Hassett said on Sunday the Fed "doesn't need to raise rates". At the press conference: *"Part of the independence of the Federal Reserve is we stay in our lane. Independence is a two-way street. We let people that do trade policy and fiscal policy stay in their lane too."* Warsh was this administration's own nominee. Note also that tariff authority is legally unsettled: the Supreme Court held in February that IEEPA does not authorise presidential tariffs, a holding at odds with how the ruling has since been characterised.
- **◆ Russia-Ukraine grinds on with no ceasefire** — Ukraine's General Staff reported 219 combat engagements on 15 September, a figure that is a Ukrainian military claim rather than an independent count. The EU is preparing further measures targeting the shadow fleet and Russian diplomats' movement. A drone was destroyed over Lithuania on 15 September. Separately, European Commission President von der Leyen used her 16 September State of the Union address to propose an "Emergency Security Protocol" triggerable by any member state.

12 Overnight setup — what Asia opens into

INSTRUMENT	LIVE 06:10 GMT+8	CHG	VOLUME	NOTE
ES (E-mini S&P)	7,623.25	+0.00%	427	Ten minutes of trade. A 2.75-point range.
NQ (E-mini Nasdaq)	29,278.00	+0.07%	251	Marginally the best of the four, on nothing.
YM (E-mini Dow)	51,904	–0.02%	36	Thirty-six contracts. Effectively unquoted.
RTY (E-mini Russell)	2,883.0	+0.02%	86	Three-point range off a three-month cash low.
USD/JPY	156.27	–0.02%	1,839	The instrument of the day. BoJ decides tomorrow; all 52 Bloomberg economists expect a hike.
USD/KRW	1,376.58	+1.14%	43,046	Closed on its session high from 1,361.09. Won weakest of the Asian majors.

INSTRUMENT	LIVE 06:10 GMT+8	CHG	VOLUME	NOTE
USD/TWD	31.8536	-0.21%	21,687	Taiwan dollar firmer — opposite the won, despite a shared semiconductor exposure.
USD/CNH	6.7116	-0.01%	1,570	Within 0.04% of a 52-week low of 6.70286. The strongest the offshore yuan has been in a year, into a dollar breakout.
EUR/USD	1.1464	+0.01%	2,271	A 10-pip bar. The euro's real move came during the US session.
Gold (spot)	\$4,260.96	-2.0% vs settle	—	0.47% above Hedgeye's 4241 floor. The floor gets tested in Asian hours.
Silver (spot)	\$62.95	-2.3% vs settle	—	Gave back a 1.66% settle gain inside three hours.
Copper (spot)	\$6.3298	+1.02% (fut)	—	Sitting on its TREND line. The one metal that rose.
WTI crude	\$101.87	-0.55%	81	Extending the 3.21% settle fall, marginally.
Brent crude	\$105.31	-0.49%	3	Three lots. Indicative only.
Bitcoin	\$75,713	+0.11%	—	The only genuinely live row. Range \$75,026-\$76,482 overnight.
Ether	\$2,392.00	-0.24%	—	49.7% below its 52-week high — and Hedgeye added ETHA long on Wednesday morning.

Previous Asian and European closes, all **marked as prior closes** and pre-dating the Fed decision: Nikkei 225 **63,922.78 (+0.69%)**, Hang Seng 24,713.79 (+0.19%), KOSPI 6,717.97 (+1.37%), Shanghai Composite **3,891.60 (+0.71%)**, ASX 200 **8,696.50 (+0.28%)**, Sensex **74,336.45 (+0.45%)**, Euro Stoxx 50 **6,266.51 (+0.48%)**, DAX 25,537.75 (+0.53%), FTSE 100 **10,688.48 (+0.29%)**, CAC 40 **8,140.60 (+0.62%)**. Every one of them closed green, and every one of them closed before the Fed hiked.

- **The handover is contradictory and Asia has to resolve it.** The US hands over a *flat* Nasdaq, a green semiconductor index and a 631-point Dow decline. Asia closed uniformly higher yesterday without knowing about the hike. So the gap to be repriced is not equity direction — it is the dollar and the front end.
- **Korea is the most exposed and the setup says so.** KOSPI closed **+1.37%**, the best of the Asian majors, and the won then fell 1.14% to close on its high. Korea now reprices a hawkish Fed and a weaker currency against a genuinely good piece of news: SK Hynix is the counterparty in the Intel memory story, and it rose 3%. That tension — a strong domestic semiconductor headline against dollar-funding pressure — is the single most interesting thing opening in Asia.
- **Japan faces the largest asymmetry of the day.** USD/JPY at 156.27 with the BoJ deciding tomorrow and a hike near-universally expected. The yen has been near 160; Ueda met Treasury Secretary Bessent on 30 August and the US conveyed "strong support" for decisive action on excessive yen weakness. A hike is priced; the guidance is not. Note also the Nikkei is **12.2% below** its 52-week high despite yesterday's gain.
- **Taiwan gets the cleanest read.** SOX +0.63% and the Taiwan dollar *firmer* — the only Asian currency to strengthen. Taiwan is also weighing tighter AI-chip export controls aimed at China, which is a slower but larger variable.
- **China has the offshore yuan within a whisker of a 52-week high** into a dollar that just broke out — an unusual combination, and one that will be tested at the 09:15 fix. August home prices, published Tuesday, kept falling.
- **The single instrument most likely to move: USD/JPY.** It is 0.02% changed on a 10-pip bar, and within 32 hours it faces a central bank that 52 out of 52 surveyed economists expect to raise rates to the highest level since 1995. Nothing else on this page carries that ratio of pending information to current price movement.

13 AI watch

- **The Intel-SK Hynix talks are the most consequential AI supply story of the week, precisely because they are about memory rather than logic.** High-bandwidth memory is the binding constraint on accelerator output, and a US-domiciled HBM source would change the geography of that constraint. Two structures are reported: a lease of part of Intel's Ohio complex, or a joint venture including cloud customers who want to lock in supply. The obstacle is political — Seoul treats HBM and DRAM as sensitive technologies — and SK Hynix has explicitly said nothing is determined.
- **Power, not silicon, is the real ceiling, and the numbers are now specific.** Interconnection queues for new large loads run **five to seven years** against build cycles of one to three. Microsoft has disclosed an **~\$80bn backlog** of Azure orders it cannot fulfil for want of power. An estimated **30-50%** of planned 2026 AI data-centre capacity is projected to slip to 2028. Facility sizes are now 100-500MW. Hyperscaler capital expenditure is running around **\$697bn in 2026**, with the top five above \$600bn, up 36% year-on-year.
- **The most under-covered AI risk this week has nothing to do with chips: it is helium.** Iranian strikes on Qatar's Ras Laffan — roughly a third of global helium output — halted production with no confirmed restart; Qatar's Helium2 plant is running at about **25%** of capacity. South Korea sourced **64.7%** of its helium from Qatar in 2025, and Korean and Taiwanese fabs are now rationed, some on half normal volumes. Spot prices have doubled since the conflict began, and **Russia imposed helium export controls on 14 April 2026**, removing the obvious substitute. Helium is near-irreplaceable in wafer fabrication for thermal management and plasma stability. The Iran war reaches AI accelerators through a gas almost nobody models.
- **The financing evidence that the AI trade is being questioned is quantified, and it is the number to watch.** State Street Global Advisors reports order-book coverage for hyperscaler issuance fell from nearly **5x in February to under 2x by July**, even as 2026 AI-related issuance heads toward the high hundreds of billions. Capital expenditure growth is forecast to decelerate from **+51% in 2026 to +13% in 2027 to roughly +5% in 2028**. SSGA also finds

higher capex plans only reward shareholders when matched by higher revenue estimates — investors are now conditioning on final demand. Morgan Stanley's named 2026 risk is that "the AI capital boom fails to boost productivity". No specific analyst downgrade of an AI name was identified inside the last week.

- **A hard, dated regulatory catalyst sits inside two weeks:** California's SB 1047, the Safe and Secure Innovation for Frontier AI Models Act, passed both chambers in late August and **must be signed or vetoed by 30 September**. Newsom separately signed a package on children and AI chatbots on 10 September requiring risk assessments before new rollouts. There is still no unified US federal AI statute, so September 2026 is when several state regimes shift from preparation to enforcement.
- **Model releases were front-loaded into early September, just before this window** — Anthropic's Claude Fable 5.1 on 1 September, OpenAI's GPT-6 Astra on 3 September, Google's Gemini 3.8 Flash on 2 September. Inside the last week the notable items are incremental: a tiered GPT-5.6 family, GPT-Live-1 available via API for voice agents able to listen while speaking, and Google's Interactive Reports for Gemini Notebook. Cornelis Networks, an Intel spinoff, raised **\$205mn** for an open GPU-agnostic AI cluster networking layer.

14 Beyond the markets

- **The largest rocket ever built attempts orbit on 22 September** and no market note will mention it. Starship Flight 14 launches from Starbase, Texas at 12:15 UTC (20:15 GMT+8), backup the 23rd. It is the **first attempt at an orbital trajectory** and the first operational deployment of Starlink V3 — 26 satellites — with a roughly 275km apogee, about six orbits, close to ten hours of flight and a Pacific splashdown west of Chile. No booster catch is planned.
- **US fertility has become a thirty-year projection rather than a news item.** The CDC's general fertility rate fell to **53 births per 1,000** women of childbearing age in Q1 2026, **down 23% since 2007**. The Congressional Budget Office now projects native-born fertility at 1.53 in 2026, falling to 1.50 by 2032 and flat thereafter, with the **under-25 population declining in every one of the next thirty years**. CDC demographers attribute it to job, housing and childcare insecurity. This is the slow variable sitting underneath every long-duration asset on page one — and underneath the housing data in section 10.
- **Solar passed coal and China passed a terawatt — and emissions still hit a record.** Renewables overtook coal in global power generation in 2025, supplying more than a third of world electricity for the first time (Ember). Solar photovoltaics alone met more than a quarter of global primary energy demand growth — the first time a modern renewable was the single largest contributor to demand growth (IEA). China reached **1 terawatt** of installed PV, the first country ever. And global CO₂-equivalent emissions reached a record **41.0bn tonnes, up 1.1%** (Energy Institute). Both halves are true: the substitution is real and the total still rose.
- **Life's genetic alphabet has been doubled in the laboratory.** Researchers at UC San Diego showed that RNA polymerase — a core cellular enzyme — can accurately read an **eight-letter** genetic alphabet, twice the four used by all known life, and handles the synthetic letters in surprisingly similar ways to natural ones. Foundational for synthetic biology, and a reminder that the most consequential research of a given year rarely trades.
- **Hydrogen may turn out to be something you find rather than something you make.** Iron-rich rocks in Western Australia were found to generate hydrogen naturally, and the process can apparently be accelerated to yield far larger quantities. If it scales it undercuts the entire green-hydrogen cost curve. It is early-stage work and should not be over-read — but the cost curve it threatens is one that many energy-transition forecasts treat as fixed.
- **The quiet arithmetic of diesel.** Retail diesel at a record ~\$6.31 a gallon, **up \$2.55 year-on-year**, is simultaneously the reason import prices ran +7.0%, the reason J.B. Hunt fell 12%, the reason the Dow Transports are testing their 200-day average, and part of the reason the Fed dropped its supply-shock caveat. One price, four sections of this brief.

15 Appendix — stock cards

INTC · INTEL

101.05 +4.03%

Cap \$534bn · no published Hedgeye band · 29.0% below 52w high of 142.35 · after-hours +0.69% · next key date: Q3 earnings, late Oct (unconfirmed)

The stock that saved the Nasdaq. Reuters says SK Hynix is in talks to make memory — possibly HBM — on US soil for the first time, via an Ohio fab lease or a JV with cloud customers. SK Hynix calls it exploratory and says nothing is determined; Seoul may object on technology-sensitivity grounds. Volume was **119mn shares**, the heaviest of any name here.

LEN · LENNAR

— **missed**

Not in this morning's capture · reported after the close Wed 16 Sep · next key date: earnings call **23:00 GMT+8 today**

Q3 EPS **\$1.19** vs \$2.29 a year ago; adjusted **\$1.23** vs \$2.00, against ~\$1.30 consensus. "Lennar Other" swung to an \$84mn operating loss from a \$62mn profit. Earnings more than halved. With NAHB at 32 and 38% of builders cutting prices, housing is the first place the rate shock has actually landed. The call is the most informative scheduled event of the session.

TLT · 20+ YEAR TREASURY

80.88 +0.21%

52w low 80.46 — closed just **0.52% above it** · day low 80.86 · 12.3% below 52w high of 92.19 · next key date: 2s/5s/7s auctions 22–24 Sep

The single clearest chart in the market. McCullough's line — *"Don't bag hold TLT or 40% of your Retirement Account in Bonds that look like it"* — was published hours before the Fed hiked and TLT closed within half a percent of a one-year low.

XLU · UTILITIES SPDR

41.32 0.00%

Band 42.81 n/a · day low **41.15 = its 52-week low exactly** · 13.6% below 52w high of 47.80 · volume 23.6mn

Exactly unchanged on the day — after trading its 52-week low intraday. A 0.00% print concealing a one-year low is the best example in this brief of why a change column alone tells you nothing. Hedgeye is short utilities explicitly as a bond proxy, tied to the expectation of upside CPI surprises through

It rose 0.21% on the day, which tells you the 30-year is not what is repricing. The 2-year is.

Q4. The trade is working and the daily change would never show it.

HYG · HIGH YIELD CORPORATE

78.42 +0.05%

Band **78.15-78.95** (bearish) · 33.7% of band · day low **78.36** = **52-week low** · 3.6% below 52w high · volume 48.5mn

Credit is where this gets decided. The band is **0.80 points wide — just 1.0% of price** — so HYG has almost no room before it breaks range in either direction. It touched its 52-week low intraday and closed 0.35% off the floor of a Bearish TREND band. If the equity market is going to take the hike badly, this row moves first.

GLD · GOLD (SPOT \$4,260.96)

391.74 -0.61%

Spot band **4241-4453** (bullish) · spot at **9.4% of band**, 0.47% above the floor · GLD intraday range 3.12% · TRADE level to reclaim: **4,361**

The whipsaw of the day. December futures **settled +1.26% at \$4,387.50** minutes before 2pm, then fell to \$4,300 once Warsh spoke; spot closed near \$4,268. Gold has only just regained Bullish TREND and the position stays at minimum size until it reclaims 4,361 — 2.4% above spot. Meanwhile it sits 0.47% off its band floor. The floor is the level that matters in Asian hours.

JBHT · J.B. HUNT

— ~-12%

Not in this morning's capture · level and exact change single-sourced · Old Dominion -4.34% in sympathy · Dow Transports within 1% of their 200-day

The day's biggest large-cap decline and the least discussed. It warned on earnings and flagged rising operating costs, with record diesel at ~\$6.31 a gallon — up \$2.55 year-on-year — as the mechanism. This is the energy spike arriving as an earnings problem rather than a commodity price, and the Transports testing their 200-day for the first time since October 2025 says it is not company-specific.

MSFT · MICROSOFT

490.30 -1.37%

Cap \$3.641T · 11.5% below 52w high of 553.72 · after-hours +0.16% · ~\$80bn disclosed Azure backlog unfulfillable for want of power

Worst of the mega-caps, and no company news explains it — the mechanism is a 2-year at a 52-week high de-rating long-duration cash flows. Hedgeye named it the **preferred name to buy on the dip**, distinguishing it from Amazon and Alphabet, both of which have failed their trend signals. The AI power constraint is its own largest reported bottleneck, which is a demand problem most companies would take.

Bands shown are the 16 September Early Look set. Lennar and J.B. Hunt were not in this morning's price capture — their figures come from the corporate release and from press reporting respectively, and are labelled accordingly. No charts by design.

16 About this edition

- **Covers** — the Wednesday 16 September US cash session as settled (16:00 ET / 04:00 GMT+8), the 16:05-18:00 ET after-hours window that closed ten minutes before capture, the first ten minutes of the Globex reopen, the full Hedgeye evening publication set, and overnight FX, metals and crypto.
- **Captured** — one window, **06:10:52-06:10:55 GMT+8, 2.4 seconds**, by concurrent query of TradingView (96 of 96 instruments) and Yahoo Finance. **Yahoo returned nothing** — its circuit breaker tripped on five consecutive HTTP 429s — so the machine capture is TradingView-single-sourced. An independent wire and vendor cross-check was run by hand to recover two-source validation on the rows that matter; divergences are reconciled in \$18.
- **Run timing** — fired at **06:10 GMT+8**, ten minutes after the nominal 06:00. Cosmetic in itself, but it places capture at **18:10 ET**, ten minutes after the 18:00 ET Globex reopen. That is why every futures row in this brief carries a volume figure and an amber change column.
- **Settled vs live** — settled: the five cash equity indices, the eleven sector ETFs, all single stocks, and the prior Asian and European closes. Live: index futures (10 minutes old), Treasury yields, energy, spot metals, FX and crypto. **Stalest rows: the Asian and European closes at roughly 13 to 17 hours**, all of which pre-date the Fed decision. Cash equities are 2h 10m old.
- **Hedgeye edition** — **FULL**, reached via the authenticated session. The live risk-range set is the **16 September Early Look, "Signals: How To Not Die In Markets", by Keith McCullough, published 07:33 ET / 19:33 GMT+8**. It is superseded by Thursday's Early Look at roughly 19:30 GMT+8 tonight. Also read: The Macro Show summary and replay (10:13 ET), the ETF Pro Plus real-time update (10:37 ET), Signal Strength Stocks (12:02 ET) and the 11 September Macro Week Summary Notes. **All of it predates the 14:00 ET FOMC statement** — the bands were set without knowledge of the hike.
- **Quad path** — **no explicit Quad path notation was seen in any publication read this morning**. The Macro Week Summary Notes lists a "U.S. Monthly Quad Forecast" section behind a dashboard link that was not reachable. Nothing is asserted, and absence of a printed path is not evidence the path is unchanged.
- **Not available** — the previous session's Early Look, so band movement is unknown rather than unchanged; IGV and OIH live prices; the MOMO Tracker, KM's Top 3, Chart of the Day and Crypto Quant, none of which appeared in the feed since the last edition; a SOX cross-check and any copper settlement.

17 Sources

Prices. TradingView bulk scanner, 96 instruments, 06:10:52-06:10:53 GMT+8; Yahoo Finance attempted concurrently 06:10:52-06:10:55 and returned nothing on rate limiting. Official settlement and yield cross-checks from the Associated Press wire "How major US stock indexes fared Wednesday 9/16/2026" (16:16 ET), the US Treasury daily par yield curve for 16 September, CNBC's market and oil wraps, Investrade's 16 September market review and Babypips' FX recap.

Hedgeye. The authenticated feed at app.hedgeye.com, read 06:12–06:22 GMT+8: the 16 September Early Look (07:33 ET), The Macro Show summary and replay (10:13 ET), the ETF Pro Plus update (10:37 ET), Signal Strength Stocks (12:02 ET) and the 11 September Macro Week Summary Notes (11 Sep, 16:29 ET).

Macro and policy. The Federal Reserve statement of 16 September and the Board's September calendar; the Bureau of Labor Statistics for import and export prices; Census for retail sales; NAHB; the EIA weekly petroleum status report; the New York Fed economic indicator calendar; Treasury's upcoming-auctions data; the Bank of England's published 2026 MPC dates; the Bank of Japan's published meeting schedule; the ECB Governing Council calendar. Consensus figures from Investing.com and Reuters; Fed-path probabilities from CME FedWatch as reported by Kiplinger; BoJ expectations from Bloomberg's and Reuters' economist surveys.

Session narrative and single stocks. CNBC, TheStreet and Kiplinger live blogs; Reuters (the Intel–SK Hynix exclusive); Yahoo Finance; Bloomberg via secondary pickup for the bullion and circular-financing material; PRNewswire and Lennar's own newsroom for the Q3 release; S&P Global's 4 September rebalance announcement; State Street Global Advisors for AI capex and issuance-coverage data.

Commodities, geopolitics and AI. CNBC and Reuters for crude; ICSG and LME reporting for copper; the Associated Press via PBS NewsHour and DTN for the Saudi pipeline repair timeline; CENTCOM's own statement and Al Jazeera's live coverage for the contested Hormuz tanker claim; Al Jazeera, Ukrinform and Rio Times for the remaining geopolitical items; Ember, the IEA and the Energy Institute for the energy-transition figures; the CDC and CBO for demography; SpaceX launch schedules for Starship Flight 14.

18 Data-confidence

CROSS-CHECKS PASSED

- **All four cash index closes and point changes match the Associated Press wire exactly.** AP: S&P 500 –33.92 to 7,551.81; Dow –631.21 to 51,461.90; Nasdaq –3.15 to 25,978.42; Russell 2000 –11.47 to 2,858.81. Every figure is identical to the capture, corroborated again by CNBC and Yahoo. One vendor, Investrade, shows Dow –630.56 and S&P –33.48; the brief uses the better-sourced AP/CNBC/Yahoo trio.
- **Cash index arithmetic is self-consistent on all seven indices.** Recomputing change ÷ (close – change) against the reported percentage: SPX –33.92/7,585.73 = –0.447% (reported –0.447%); DJI –631.21/52,093.11 = –1.212% (–1.212%); IXIC –3.15/25,981.57 = –0.012% (–0.012%); RUT –0.400%; SOX +0.631%; VIX +3.083%; NYA –0.805%. All seven agree to three decimal places.
- **Futures-versus-cash basis confirms every settle is a settle.** ES 7,623.25 vs SPX 7,551.81 = **+71.44 (+0.95%)**; YM – DJI = **+442.10 (+0.86%)**; RTY – RUT = **+24.19 (+0.85%)**. Three December contracts within 10bp of each other on carry, and all consistent with ~5% funding less dividends over the remaining term. A mislabelled or stale cash row would show up here as a dislocated basis; none does.
- **Treasury yields validated against the official US Treasury par curve for 16 September.** 2Y capture 4.736 vs par 4.74; 10Y 5.020 vs 5.01; 30Y 5.361 vs 5.35. CNBC independently gives 10Y 5.016 and 2Y 4.738. Three of four tenors reconcile inside 1.1bp. The 2-year was captured directly rather than inferred from Hedgeye's own 10s2s spread, which would have been circular.
- **Crude and Brent settlements confirmed twice.** WTI settled **\$102.43, –3.21%** and Brent **\$105.83, –2.69%**, per both CNBC's dedicated oil story and Investrade. The live CL1! print of 101.87 is –0.55% from that settle — internally consistent. A trap avoided: Newsquawk's *Tuesday* wrap has WTI settling at 105.83, the same figure as Wednesday's Brent, and the coincidence across two contracts on two days is a live mis-attribution risk.
- **VIX and Bitcoin corroborated.** VIX capture 17.72 against Yahoo's post-close 17.71 — a one-tick feed difference. Bitcoin ~75,713 against Yahoo's 75,660, Babypips' "near \$76,000" and bitcoin.com's ~75,879 after a \$74,913 shakeout. Three sources, all consistent.
- **Reconciliation counts, stated honestly.** The capture script reports **0 matched, 0 minor, 0 divergent, 57 single-sourced. There are no divergent machine rows to resolve because no second machine source ran** — that is not a clean reconciliation, and it is why the hand cross-check above was performed instead.

KNOWN CONFLICTS AND WEAK MARKS

- **The dollar index diverges and the brief prints the captured figure with the close beside it.** Capture: 100.34, +0.73% at 06:10:52 GMT+8. Investrade's close: **100.28, +0.61%**; Babypips says "roughly 100.3 at the close". The gap is ~6bp of level and ~12bp of change, and it resolves plausibly: the capture is a live 18:10 ET print taken *after* the cash close, and the dollar kept rising. The conclusion that matters is robust either way — **both 100.34 and 100.28 sit above Hedgeye's 99.94 band ceiling**, so the breakout call does not depend on the decimal. Treat the 135%-of-band figure as directionally certain and precisely uncertain.
- **The 5-year yield is the one rates row that does not reconcile.** Capture 4.877% against the Treasury par close of 4.86 — a **1.7bp** gap, wider than the other three tenors. The par curve is struck on a ~15:30 ET basis and the capture is 18:10 ET, so a genuine post-close move is the likely explanation, but it is not verified. The 5s2s spread of +14.1bp inherits that uncertainty.
- **Gold tells two opposite and equally defensible stories, purely because of settlement timing.** December futures settled **+1.26% at \$4,387.50** minutes before the 2pm decision; Yahoo's post-close strip showed 4,297.60 (–2.05%); spot closed near \$4,268 per Babypips and reads 4,260.96 in the capture. Trading Economics separately shows spot at 4,338.22 (+1.07%), which looks like a pre-FOMC snapshot and is not used. The brief prints the settle and the subsequent fall as two separate facts rather than netting them into one change figure, because netting them would be false either way. The same applies to silver, which settled +1.66% at \$64.92 and now reads \$63.44 on futures.
- **Spot metals and FX majors sit on daily bars roughly 70 minutes old, so their own change fields are noise, and the brief does not use them.** The evidence is in the ranges: spot gold's intraday range is **0.16%** and spot silver's

0.22%, against GLD at **3.12%** and SLV at **4.13%** for the same day. A 0.16% range on gold is not a session. Where a Wednesday move is quoted for these instruments it is measured against the settlement, and that is stated in the row. USD/KRW and USD/TWD are the exceptions in the other direction — wide bars spanning the Asian session, which is why the won's 1.14% move is labelled as a session move rather than an overnight one.

- **Two figures could not be corroborated at all and are single-sourced.** The **SOX close of 11,246.10 (+0.63%)** — no wire or vendor copy was found, and it is load-bearing for the "semis carried the Nasdaq" claim, though that claim is independently supported by reported moves in Intel, AMD and ASML. And **any copper settlement** — no source quotes one, so the brief cites the futures change of +1.02% from the capture and the LME record of \$14,858.50 a tonne on 10 September, and prints no Wednesday copper settle.
- **Market capitalisations are TradingView-computed and single-sourced**, reflecting the Wednesday settle. The \$25.2 trillion total for the eight names in \$5 is arithmetic on those eight figures and inherits their uncertainty; treat the total as robust to about a percent and the final digits as not meaningful.
- **The 2027 dot-plot interpretation is genuinely contested and the brief does not resolve it.** Kiplinger's own economist reads the SEP as showing two further hikes, one this year and one in 2027; Johnson Investment Counsel's Brandon Zureick and Yahoo read the 2027 median as implying no further tightening — while noting that a single upward revision by one voting member would have flipped it. The brief states only the 2026 median of one more hike, which all sources agree on. Press reports also differ on the dot count, between "12 of 18" and "16 of 18" participants seeing at least one more move this year; neither is printed as fact.
- **The Saudi pipeline repair timeline is the most consequential unresolved conflict on the page.** US Energy Secretary Chris Wright: "within days". Associated Press reporting sourced to Saudi officials: three to five weeks, with a major pumping station damaged. Crude traded the first version to the tune of 3.2%. Both are quoted and attributed; neither is adopted.

KNOWN GAPS

- **Band movement versus the previous session is UNKNOWN, not unchanged.** The Early Look category page does not paginate — ?page=2 and ?page=3 both return the 16 September note verbatim — and no alternative route to the 15 September levels was found. The one documented band change is the **VIX ceiling rising intraday to 18.78** from a 16.55 TREND reference, sourced directly to The Macro Show. Everything else: unknown.
- **No explicit Quad path notation was seen.** The path is not printed in the Early Look or the Macro Show summary; it lives in the US Monthly Quad Forecast inside the Macro Week Summary Notes, behind a dashboard link that did not resolve. **Absence of a printed path is not evidence the path is unchanged**, and nothing about it is asserted anywhere in this brief.
- **Absence of a Hedgeye position change is not evidence there was none.** The publications that would most likely carry one — the **MOMO Tracker**, **KM's Top 3 / From The Desk**, **Chart of the Day**, **Crypto Quant** and any Real-Time Alert — did not appear in the feed for this window. Those are routinely image-based and unreadable even when present. A position change could have been published in any of them and would not be visible here.
- **Article pages served a Cloudflare interstitial throughout.** The Macro Show summary, ETF Pro update and Macro Week Summary Notes were reachable only through category-filtered index views rather than their own URLs; the Macro Week Summary Notes yielded its section list but not its contents, which is why the Quad path is missing. Individual repeat navigations did not clear it.
- **Consensus figures are missing for a long list of forward releases and none has been estimated:** industrial production (18 Sep), the flash PMIs (23 Sep), new home sales and the 24 September jobless claims, durable goods and Michigan final (25 Sep), Australia's August labour force, and the China loan prime rate. The PBoC fixing date of **21 September is inferred** from the "20th, postponed for holidays" convention and not confirmed from a PBoC source. Hong Kong's next unemployment release date could not be confirmed. Regional Fed presidents' speaking schedules for 18-25 September were not enumerable.
- **Several corporate items rest on thinner ground than the prices.** No company-specific catalyst could be verified for Oracle (+2.00%), Netflix (−1.91%), Cisco (−2.12%) or Applied Materials (−1.38%) on 16 September, and the brief says so rather than supplying one. The **timestamp of Huntington Bancshares' guidance cut could not be established** as before or after 16:00 ET. J.B. Hunt's ~12% decline is press-reported and was not in the price capture. Lennar's figures come from the company's own release and are solid; the ~\$1.30 consensus is secondary.
- **Asian and Indian cash markets were closed at capture and no live Asian tape exists in this brief.** Every Asian and European level in \$12 is a prior close, explicitly marked, and all of them pre-date the FOMC decision. Two further items could not be confirmed: whether the US House has passed the Senate's 8 August continuing resolution ahead of the 30 September funding lapse, and any Taiwan-strait or Chinese export-control action inside the last week — neither is implied anywhere above.

TIMING & UNVERIFIED

- **Capture window: 06:10:52-06:10:55 GMT+8, a 2.4-second spread.** No top-up pass was required, so no row in this document carries a different capture time from any other. The 10-minute standard was met with margin.
- **Age of rows at time of writing.** Prior Asian and European closes: **13 to 17 hours**, and all pre-FOMC — the stalest and most misleading rows in the brief if read as current. US cash equities, sectors and single stocks: **2 hours 10 minutes**. Hedgeye risk ranges: **10.6 hours** since the Early Look, and again pre-decision. Index futures: **10 minutes**. FX majors and spot metals: ~70 minutes of a fresh bar. Crypto: continuous.
- **What has moved since capture, structurally.** The after-hours session closed at 18:00 ET, ten minutes before capture, so the post-market fields in \$5 are final rather than partial — the largest was Nvidia at +0.34% and none exceeded 0.75%. Globex will have built real volume in the hours between capture and reading; every futures row will be stale by the time this is opened, and the 36 contracts in YM should be read as an absence of information rather than a price.

- **What supersedes this brief, and when.** Thursday's Hedgeye Early Look at roughly **19:30 GMT+8 tonight** replaces every risk range in §4 and is the first Hedgeye set published with knowledge of the hike — expect the bands to move, particularly the dollar's, which is currently breached. The Bank of England at **19:00** and US jobless claims, housing starts and the Philadelphia Fed at **20:30** all land today, and the Bank of Japan decides tomorrow. Treasury auction sizes for next week's 2s, 5s and 7s are set today.
- **The single largest unverified quantity is not a price but a timeline:** whether the Saudi East-West pipeline restarts in days or in three to five weeks. Crude has priced the former. If the latter is right, the 3.2% fall in WTI reverses and section 3's band arithmetic changes with it.
- **Verify live prices before acting on anything in this document.** Cash equity levels are more than two hours old and were struck before an after-hours session; futures levels carry ten minutes of trade; the Hedgeye bands were published before the Fed hiked and will be restated tonight. This brief is information only and is not investment advice.